

to ₹4.3 lakh crore. Money market instruments such as treasury bills and commercial papers are up 105%, highlighting a move toward short-term and liquid instruments. Corporate debt AUM, on the other hand, fell 17%. However, PSU bonds and securitised debt grew steadily, by 45% and 76%, respectively.

The trend is clear; investors are choosing quality and safety. “Given the global uncertainty, investors should hedge by reducing risk and moving to safer investments. Corporate India’s balance sheets are strong but it’s a time to stay balanced,” says Nagarajan.

INTEREST RATES

Interest rates play an important role in deciding debt fund returns. The Indian economy is at an interesting phase—inflation is moderating, growth is stable, and the Reserve Bank of India (RBI) has signalled a supportive monetary policy. “CPI inflation is expected to be around 2.6% for the current year,” says Nagarajan. “This gives the RBI room to cut rates by up to 50 basis points in the coming months. With a steep yield curve, long-term bond yields look attractive. Investors could consider increasing exposure to gilt and corporate bond funds to benefit from potential rate cuts,” he adds.

152 | “Inflation and global bond yields play a pivotal role in shaping debt fund returns. Inflation is subdued and the RBI’s stance remains dovish. If global central banks turn accommodative, long-duration Indian bonds could gain significantly,” says Devang Shah, Head of Fixed Income, Axis Mutual Fund.

TIMING IS THE KEY

So, where should investors look now? Shah says medium-duration and short-term debt funds offer good opportunities in the current environment. “Short-term funds, including corporate bond and money market, offer liquidity and relatively stable returns,” he says. “Gilt funds with active duration management can capture potential price gains if yields fall,” he adds.

Shah also suggests a barbell strategy—combining short-duration instruments for liquidity and long-duration bonds for capital appreciation. “It’s an effective way to balance stability and growth,” he adds. “Investors can use a mix of short-term bond funds, corporate bond funds, and gilt funds to capture different opportunities depending on their risk appetite and investment horizon, says Nagarajan.

India’s fixed-income market has evolved rapidly, thanks to several policy changes and regulatory reforms. “The RBI has made liquidity management more efficient by introducing a seven-day Variable

RIISING MOMENTUM

• **BETWEEN FY20 AND FY25, AUM IN DEBT FUNDS ROSE 70% FROM ₹13.1 LAKH CRORE TO ₹22.4 LAKH CRORE**

• **INFLATION IS SUBDUED, AND THE RBI’S STANCE IS DOVISH. IF GLOBAL CENTRAL BANKS TURN ACCOMMODATIVE, LONG-DURATION BONDS COULD GAIN SIGNIFICANTLY**

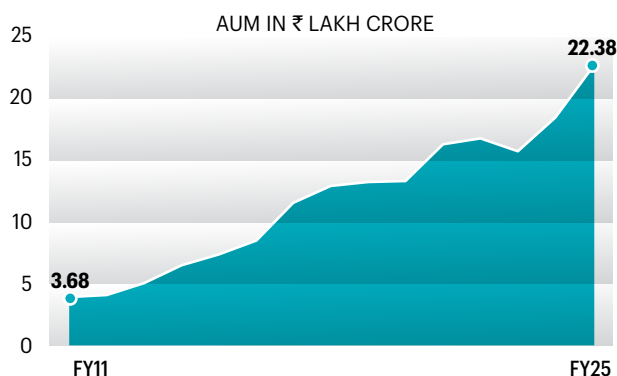
• **THE GOVERNMENT’S COMMITMENT TO FISCAL CONSOLIDATION AND STABLE FOREIGN EXCHANGE MANAGEMENT HAS REDUCED VOLATILITY AND ATTRACTED FOREIGN INFLOWS INTO BOND MARKETS**

• **THE LOWERING OF THE INVESTMENT THRESHOLD FOR BONDS TO ₹1,000 HAS OPENED THE FIXED-INCOME MARKET FOR RETAIL INVESTORS**

• **PASSIVE PRODUCTS ARE COST-EFFECTIVE AND TRANSPARENT. HOWEVER, RETURNS FROM BHARAT BOND ETFs HAVE RANGED BETWEEN 7% AND 9%, WHICH IS IDEAL FOR CAPITAL PRESERVATION BUT NOT FOR SIGNIFICANT GROWTH**

• **ACTIVE MANAGEMENT IS ESSENTIAL IN DEBT BECAUSE INTEREST RATE CYCLES ARE SHORT. FUND MANAGERS CAN REPOSITION PORTFOLIOS QUICKLY TO BENEFIT FROM CHANGING CONDITIONS**

FIXED INCOME GAINS GROUND



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